

preneurial ventures in the country,” says Jain of PHDCCI.

The government is cognisant of the challenges and has from time to time taken steps to alleviate them. During the pandemic, for example, to alleviate the pressure on the MSME sector, it came out with the Emergency Credit Line Guarantee Scheme (ECLGS). While that has helped to some extent, there have also been defaults in repayments. A Reserve Bank of India (RBI) report states that micro enterprises availed 24 per cent of the loans disbursed under ECLGS, but their share in overall NPAs stood at 43 per cent as of September 2022.

The distress is also reflected in the National Crime Records Bureau's latest report that 12,055 businessmen died by suicide in 2021, which is higher than 11,716 deaths reported in 2020. “The distress was the by-product of the slowdown induced by Covid-19,” one person tracking the MSME sector told *BT* on condition of anonymity.

FOR INDIA TO achieve its \$5-trillion economy dream, the MSME sector needs to play a big part. “From the development of MSMEs, we need to go towards development led by MSMEs,” says Saket Dalmia, MD of Marble City (formerly PG Industry). “For the next 25 years, the MSME sector as a whole needs a one-stop solution to provide businesses with integrated, seamless, and personalised access to relevant information, clearances and licences.” Kumar from Pharmchem says the share of credit to micro, small and medium enterprises is very small compared to the outstanding credit to large enterprises. “The government should focus on infusing more credit to the MSME sector,” he says.

Jain of PHDCCI believes that ease

SMALL FIRMS, BIG POTENTIAL

**63
MILLION**



Total number of MSMEs in the country

**30
PER CENT**



Contribution of the MSME sector to India's GDP

**45
PER CENT**



Share of the MSME sector in manufacturing

**40
PER CENT**



Contribution of the MSME sector to India's exports

**113
MILLION**



Number of people employed in the MSME sector

SOURCE PHDCCI

in approvals and registrations will serve as a key impetus for the growth of MSMEs going forward. “A single-window system should be set up to give clearances for all the required permissions to ensure faster and efficient action and decision-making. Along with that, contract enforceability and other legal reforms, ease of statutory and other taxation related compliances, flexible labour laws and reforms like digitising land records, building new industrial infrastructure and making available land for setting up new enterprises in the MSME sector should also be in focus,” Jain elaborates. Technology is another area that can boost MSMEs. “Technology upgradation, innovation and digitisation, if done imaginatively, could prove to be a game changer for MSMEs in India,” an observer of the sector told *BT* on condition of anonymity.

Access to credit and finance has been a perennial problem for MSMEs. According to International Finance Corporation, the credit needs of the sector stand at nearly ₹32.5 lakh crore. Despite this huge demand, less than 5 million MSMEs have access to formal credit. There's more. “India still lags in areas such as enforcing contracts (ranked 163 in the world) and registering property (No. 154),” says Mishra of Microtech. “There are many constraints with respect to availability of credit and its high cost, the requirement of seeking multiple registrations and approvals, higher taxation for proprietary and partnership concerns... these need immediate attention.”

Tall order? Maybe, but there are no choices here. Mission 2047 won't be complete without a flourishing MSME sector in India. **BT**

@RajatMishra9518